

3. 9:00 AM CASE NUMBER: C22-02691
CASE NAME: DUNCAN MILLER VS. THOMAS MAMPALAM, MD
*HEARING ON MOTION IN RE: STRIKE PLAINTIFF'S 2ND AMENDED COMPLAINT
FILED BY: AMIRDELFAM, KASRA, MD
TENTATIVE RULING:

The hearing on this motion is continued to September 11, 2026 at 9:00 a.m.

4. 9:00 AM CASE NUMBER: C22-02691
CASE NAME: DUNCAN MILLER VS. THOMAS MAMPALAM, MD
HEARING ON DEMURRER TO: PLAINTIFF'S 2ND AMENDED COMPLAINT
FILED BY: AMIRDELFAM, KASRA, MD
TENTATIVE RULING:

The hearing on this motion is continued to September 11, 2026 at 9:00 a.m.

5. 9:00 AM CASE NUMBER: C23-01219
CASE NAME: ELVECIO MACHADO VS. GINO CARUSO
HEARING ON DEMURRER TO: CROSS-COMPLAINT
FILED BY: MACHADO, ELVECIO
TENTATIVE RULING:

Before the Court is the unopposed Demurrer, filed May 29, 2026, of Plaintiffs and Cross-Defendants (Cross-Defendants) Elvecio Machado and Tatiana Arambulo to the Verified Cross-Complaint filed April 27, 2026 of Defendants and Cross-Complainants (Cross-Complainants) Gino Caruso and Laudelino Caruso.

The motion was originally set to be heard on October 30, 2026. However, during a Case Management Conference on June 9, 2026 with all parties present, the court advanced the hearing date to September 4, 2026. On August 28, 2026 – five court days before the September 4, 2026 hearing date, Cross-Complainants Gino Caruso and Laudelina Caruso, representing themselves, filed a pleading styled, “Defendants/Cross-Complainants Gino Caruso and Laudelina Caruso’s Notion of Motion and Motion for Continuance of Hearing on Cross-Defendants’ Demurrer and Motion to Strike; Request for an Order Shortening Time and Earliest Available Hearing” in which they requested, among other things, that the Court “hear and determine the request for continuance first at the September 4 hearing, before proceeding with the Demurrer and Motion to Strike.” This request is **denied**.

The Cross-Complainants’ opposition papers were due 9 court days prior to the hearing date. Cross-Complainants did not file an opposition to the instant motion. The Cross-Complaints’ August 28, 2026 request for the court to hear a motion to continue the hearing set for September 4, 2026 is denied as untimely. The request for an Order Shortening Time is denied as impractical. The Cross-

Complainant's papers were filed 5 court days prior to the September 4th hearing date and the court had no hearing dates between August 28, 2026 and September 4, 2026.

Factual and Procedural Background

Cross-Defendants Machado and Arambulo are shareholders, directors, and officers of Cars To Go Towing, Inc. ("CTGT"), a California towing corporation organized in 2017. Cross-Complainants Gino and Laudelina Caruso are likewise shareholders, directors, and officers of CTGT, holding a combined 60% interest. Cross-Defendants filed their original complaint on May 6, 2023, and their Verified First Amended Complaint on April 17, 2026, alleging, among other things, that Cross-Complainants breached fiduciary duties by diverting a corporate opportunity to a competing business, Cars To Go, Inc., concealing that diversion from the Board, freezing Cross-Defendants out of corporate accounts and operations, and sending a misleading dissolution letter designed to devalue CTGT.

On April 26, 2026, Cross-Complainants filed the Verified Cross-Complaint at issue here. Cross-Complainants are no longer represented by counsel and filed the Cross-Complaint in pro per. The Cross-Complaint asserts five causes of action: (1) Breach of Duty of Loyalty; (2) Fraud/Concealment; (3) Constructive Fraud; (4) Malicious Prosecution; and (5) Unjust Enrichment.

Trial is currently set for October 13, 2026.

Legal Standard

A demurrer tests the legal sufficiency of the allegations in a complaint. Code Civ. Proc. § 430.10(e); *Hahn v. Mirda* (2007) 147 Cal. App. 4th 740, 747, *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal. App. 4th 968, 994. While a court accepts well-pleaded factual allegations as true, it does not accept contentions, deductions, or conclusions of law. *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318. Where a pleading fails to state sufficient facts to constitute a cause of action, demurrer is proper. Code Civ. Proc. § 430.10(e).

Analysis

Second Cause of Action for Fraud / Concealment

Fraud must be pleaded with particularity. "Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73. General and conclusory allegations are insufficient. *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184. Fraud and fraud-based causes of action are subject to a heightened pleading standard: every element must be alleged with specificity as to the who, what, when, where, and how. *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.

The Second Cause of Action is styled, "Fraud/Concealment (Intentional Misrepresentation by Omission.) Cross-Complainants allege that Elvecio Machado had a duty to disclose running and owning two (2) competing local tow businesses since February and March 2019, one of which being

registered in the City of Concord, to his fellow Company shareholders. (Cross-Complaint ¶ 137.)

“A complaint for fraud must allege the following elements: (1) a knowingly false representation by the defendant; (2) an intent to deceive or induce reliance; (3) justifiable reliance by the plaintiff; and (4) resulting damages.” (CACI 1900, *Service by Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1816.)

The Second Cause of Action fails any representation by any Cross-Defendants, let alone the falsity of the statement, the dates when the representation was made, an intent to deceive or induce reliance, justifiable reliance by the plaintiff and specific damages.

To the extent this claim sounds in concealment, the Second Cause of Action also fails to allege facts sufficient to plead a cause of action.

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the facts and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal. 5th 1, 40.)

Cross-Complainants have plead the existence of a duty to disclose but have not plead facts to demonstrate that the Cross-defendant intended to defraud the Cross-Plaintiff by intentionally concealing or suppressing the fact; the Cross-Plaintiff was unaware of the facts and would have acted differently if the concealed or suppressed fact was known; and (5) the Cross plaintiff sustained damage as a result of the concealment or suppression of the material fact.

The demurrer to the Second Cause of Action is **sustained** with leave to amend.

Third Cause of Action for Constructive Fraud

The Cross-Complaint alleges, “Cross Defendant Elvecio Machado failed to disclose material facts, such as the undisputed facts that he was running and owning two (2) competing local tow businesses since February and March 2019.” (Cross-Complaint ¶ 140.)

Constructive Fraud requires a fiduciary relationship, that the defendant acted on plaintiff’s behalf for purposes of a transaction(s), that defendant misled the plaintiff by failing to disclose information or providing information that was inaccurate or incomplete, that plaintiff was harmed and that the defendant’s conduct was a substantial factor in causing plaintiff’s harm. (Civil Code 1573, CACI 4111, *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1131.) Cross-Defendant is correct in pointing out that constructive fraud does not require intentional deceit.

The Third Cause of Action fails to allege a fiduciary duty owed by Cross-Defendant Machado, that he obtained an advantage through breach of a duty, that the Cross-Plaintiffs were harmed and that the Cross-Defendant’s conduct was a substantial factor in causing Cross-Plaintiff’s harm.

The Demurrer to the Third Cause of Action is **sustained** with leave to amend.

Fourth Cause of Action for Malicious Prosecution

A claim for malicious prosecution of a civil action requires among other things that the lawsuit ended in plaintiff's favor. (CACI 1501, *Bertero v. National General Corp.* (1974) 13 Cal.3d 43, 50.)

The Cross Complaint alleges that the current lawsuit was filed by Plaintiffs without probable cause. (Cross-Complaint, ¶¶ 143, 146.)

The Court agrees that this cause of action fails as a matter of law and cannot reasonably be cured by amendment.

The demurrer to the Fourth Cause of Action in the Cross-Complaint is **sustained without leave to amend**.

Fifth Cause of Action for Unjust Enrichment

The Fifth Cause of Action, styled "Unjust Enrichment," alleges that Cross-Defendant Elvecio Machado was "excessively overpaid for the payback of his fragmented loans, which should be returned to the Company," "was unfairly paid shareholder's distributions when none of his Company fellow shareholders received any, which should be returned to the Company," and personally benefitted from the Company's resources, which should be paid to the Company.

There is no cause of action for "unjust enrichment." *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App. 4th 779, 793. Cross-Plaintiffs must allege a cognizable legal theory.

The demurrer to the Fifth Cause of Action in the Cross-Complaint is **sustained** with leave to amend.

Conclusion

The demurrer to the Second and Third Causes of Action in the Cross-Complaint is **sustained** with leave to amend. The demurrer to the Fourth Cause of Action in the Cross-Complaint is **sustained without leave to amend**. The demurrer to the Fifth Cause of Action in the Cross-Complaint is **sustained** with leave to amend.

Cross-Defendants are directed to prepare and serve notice of entry of this order on Cross Complainants. Cross-Complainants must file an Amended Complaint within 30 days of service of notice of entry of this order.

6. 9:00 AM CASE NUMBER: C23-01219
CASE NAME: ELVECIO MACHADO VS. GINO CARUSO
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF THE CROSS-COMPLAINT
FILED BY: MACHADO, ELVECIO
TENTATIVE RULING:

Before the Court is the unopposed Motion, filed May 29, 2026, of Plaintiffs and Cross-Defendants